

Factor Sorting Challenge

Activity 1: Classify resources into the four factors of production

Instructions

Drag each resource to the correct factor of production category. Think carefully—some items might surprise you!

Remember the four factors:

 **Land** = Natural resources (oil, water, land)

 **Labor** = Human effort (workers, professionals)

 **Capital** = Human-made tools (machines, buildings)

 **Entrepreneurship** = Innovation, risk-taking, organizing

Resources to Sort:

Ocean fishing rights

Factory robot arm

Software developer

Elon Musk's vision

Texas crude oil

Delivery truck

Registered nurse

Starting a food truck

Sunlight for solar panels

Cash register system

Manager's expertise

Risk of business failure

 **LAND**

Natural resources

 LABOR

Human effort

 CAPITAL

Tools & equipment

 ENTREPRENEURSHIP

Innovation & risk

Check Answers

Reset

 Common Mistakes to Avoid:

Robot as Labor: Robots are capital (human-made tools), not labor. Labor requires human effort.

Manager expertise as Entrepreneurship: Management skills are labor (human capital). Entrepreneurship is specifically about risk-taking and organizing a business.

Starting a business as Capital: The act of starting a business is entrepreneurship. Capital refers to the physical equipment purchased.